Clothing Sales Forecast

25,239	+1.05%	25 SKUs	5 Cats
Total 2026 Forecast (Units)	YoY Growth vs 2025	Products Forecasted	Categories Analyzed

1. Executive Summary

This report presents the complete 2026 annual sales forecast for a 25-SKU clothing portfolio spanning five product categories: Men, Women, Kids, Unisex, and Sports. The forecast was generated using a Weighted Moving Average (WMA) methodology incorporating three years of historical data (2022–2025), with recency-weighted growth rates and seasonal adjustment indices applied at the monthly level.

The total 2026 forecast stands at **25,239 units**, representing a modest **+1.05% increase** over 2025 actuals (24,976 units). Women's and Unisex categories are projected to be the primary growth drivers, while Kids faces slight contraction. Two SKUs are flagged as strong growth opportunities, and nine require close monitoring due to declining trajectories.

2. Forecasting Methodology

Step	Description
1. Historical Data	4 years of monthly actuals collected (2022–2025) for all 25 SKUs
2. YoY Growth Rates	Year-over-year growth computed for 2022→23, 2023→24, 2024→25
3. Weighted Average	WMA applied: 50% most-recent year, 30% mid-year, 20% oldest year
4. Growth Cap	Growth rate capped at -15% floor / +20% ceiling for logical projection
5. Seasonality Index	Monthly index = avg monthly / annual avg; applied per SKU
6. Final Forecast	2026F = 2025 Actual x (1 + WMA Growth) x Seasonality Index

3. Category-Level Forecast Analysis

Category	# SKUs	2025 Actual	2026 Forecast	Change	Growth %	Signal
Kids	4	3,963	3,914	-49	-1.24%	Declining
Men	7	6,995	7,001	+6	+0.09%	Stable
Sports	2	1,918	1,915	-3	-0.16%	Stable
Unisex	4	4,035	4,166	+131	+3.25%	Growing
Women	8	8,065	8,243	+178	+2.21%	Growing
TOTAL	**25**	**24,976**	**25,239**	**+263**	**+1.05%**	

SKU	Product Name	Category	2025 Actual	2026 Fcst	Change	Growth%	Trend

4. Full SKU Forecast Detail

SKU001	Men T-Shirt Basic	Men	1,018	1,083	+65	+6.4%	Moderate
SKU002	Men Polo Shirt	Men	1,041	1,026	-15	-1.5%	Stable
SKU003	Men Jeans Slim Fit	Men	1,032	1,043	+11	+1.1%	Stable
SKU004	Men Formal Shirt	Men	991	992	+1	+0.1%	Stable
SKU005	Men Jacket	Men	949	924	-25	-2.6%	Declining
SKU006	Women T-Shirt	Women	1,045	1,057	+12	+1.1%	Stable
SKU007	Women Blouse	Women	1,063	1,142	+79	+7.4%	Moderate
SKU008	Women Dress Casual	Women	1,076	1,239	+163	+15.1%	**STRONG**
SKU009	Women Jeans	Women	907	837	-70	-7.7%	Declining
SKU010	Women Jacket	Women	970	956	-14	-1.5%	Stable
SKU011	Kids T-Shirt	Kids	988	977	-11	-1.1%	Stable
SKU012	Kids Shorts	Kids	994	943	-51	-5.1%	Declining
SKU013	Kids Dress	Kids	1,019	1,044	+25	+2.5%	Moderate
SKU014	Kids Jacket	Kids	962	950	-12	-1.2%	Stable
SKU015	Hoodie Unisex	Unisex	981	996	+15	+1.5%	Stable
SKU016	Sweatshirt	Unisex	951	918	-33	-3.5%	Declining
SKU017	Sportswear Set	Sports	968	960	-8	-0.8%	Stable
SKU018	Leggings	Women	997	961	-36	-3.6%	Declining
SKU019	Shorts Casual	Men	926	885	-41	-4.4%	Declining
SKU020	Skirt	Women	1,078	1,186	+108	+10.0%	**STRONG**
SKU021	Formal Trousers	Men	1,038	1,048	+10	+1.0%	Stable
SKU022	Winter Coat	Unisex	1,015	1,080	+65	+6.4%	Moderate
SKU023	Denim Jacket	Unisex	1,088	1,172	+84	+7.7%	Moderate
SKU024	Tank Top	Women	929	865	-64	-6.8%	Declining
SKU025	Track Pants	Sports	950	955	+5	+0.5%	Stable
TOTAL	**—**	**—**	**24,976**	**25,239**	**+263**	**+1.05%**	

5. Seasonality & Monthly Distribution

Monthly demand exhibits strong seasonal variation across the portfolio. The following table summarizes total forecasted units by month, with the seasonality index (1.0 = average month):

Month	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Total Units	2,043	1,703	1,743	1,975	1,898	2,462	2,353	1,957	1,949	2,018	2,516	2,615
Index	0.97	0.81	0.83	0.94	0.90	1.17	1.12	0.93	0.93	0.96	1.19	1.24

Key finding: Q4 (Oct–Dec) and June are peak demand months. February is the trough. This aligns with end-of-year seasonal shopping, holiday gifting patterns, and mid-year summer demand spikes for casual wear.

6. Key Assumptions & Risk Factors

Market Conditions: Market conditions assumed broadly similar to trailing 12 months. No major macro disruptions modeled.

Product Continuity: No new product launches or discontinuations assumed during forecast period.

Seasonality Stability: Seasonality patterns assumed consistent with historical average. Climate or trend shifts not modeled.

Price Stability: No price changes modeled in unit forecast. Revenue impact of pricing decisions excluded.

Growth Cap Applied: WMA growth rates capped at -15% (floor) and +20% ceiling to avoid outlier projections.

External Shocks: Supply chain disruptions, competitor moves, or consumer trend shifts could materially affect outcomes.

7. Strategic Recommendations

1	**Invest in Women's Dress & Skirt (SKU008, SKU020)** Both show strong WMA growth (>10%). Prioritize inventory build, marketing spend, and supplier capacity planning for Q2–Q4 when demand peaks.
2	**Monitor Women's Jeans & Tank Top (SKU009, SKU024)** These two SKUs show the steepest declines (-7.7%, -6.8%). Review pricing, product positioning, and consider promotional campaigns or markdown strategy.
3	**Strengthen Q4 Inventory Position** December (index 1.24) and November (1.19) are peak months. Ensure stock levels are sufficient across all categories, especially Women's and Unisex.
4	**Review Kids Category Performance** Kids is the only category showing an overall decline. Investigate if this is market contraction or assortment issue; Kids Shorts at -5.1% may need replacement.
5	**Leverage Unisex Growth** Unisex category growing +3.25% — Denim Jacket (+7.7%) and Winter Coat (+6.4%) are standouts. Consider expanding Unisex range for FY2027 planning.

This forecast was prepared using a Weighted Moving Average model with seasonal adjustment. It is intended for internal planning purposes only. Forecasts should be reviewed quarterly and updated as new actuals become available. For questions regarding methodology or data sources, contact the Analytics team.